

Lyft, Inc. (NYSE: LYFT)

Investment Analysis

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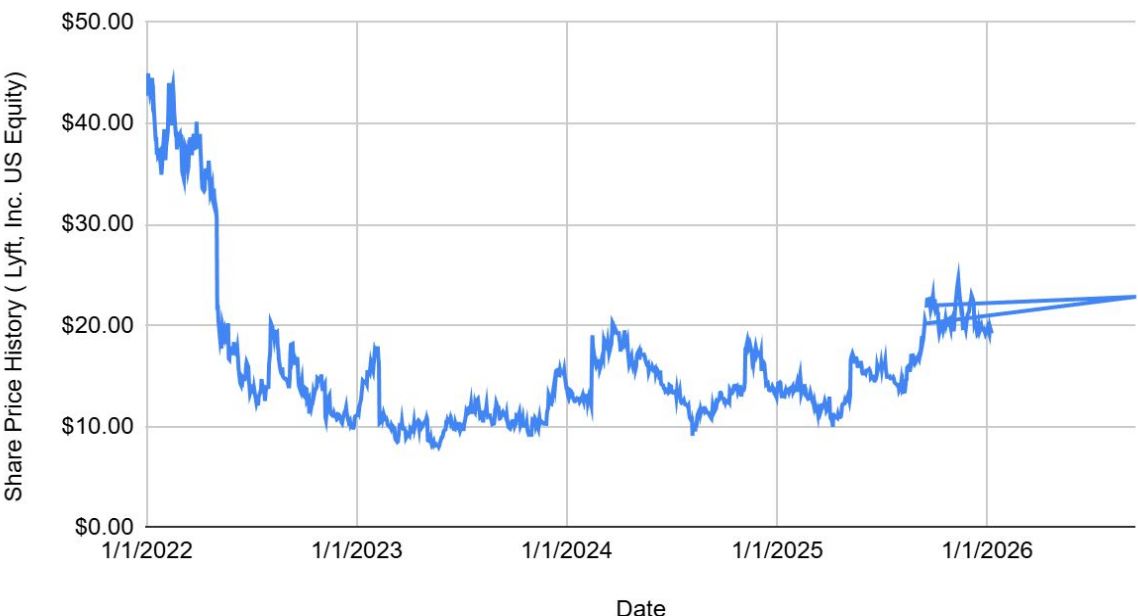
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Executive Summary | Recommendation: Long

Attractive valuation, record \$1B+ free cash flow trajectory, and 24% analyst upside following a 44.3% return over the last three years

[Lyft, Inc]. [LYFT]	
Share Price [Add date]	\$19.37
Shares Out.	413.0
Market Cap	
Cash	\$8,000
Debt	\$1,993
TEV	
FY24 EBITDA	\$1,319
EV / FY24 EBITDA	\$7,326
	382
	19.2x
Base Case Valuation Summary:	
FY27 EBITDA:	811
Target Multiple	12.0x
EV	\$9,730
Net Debt	-\$674
Market Cap	\$10,404
Shares Out.	413.0
3-Year Price Target	\$25.19
Total Return:	30%
IRR	9%

Share Price History (Lyft, Inc. US Equity)



valuation is predicated on 10% annual revenue growth and stable operating margins. The resulting DCF model is highly sensitive to the discount rate, reflecting a significant concentration of enterprise value within the terminal period

Business Overview | It's a premier North American mobility platform providing a multimodal network of on-demand ridesharing, micromobility, and autonomous vehicle integrations

- It Serves 28.7M annual active riders and maintains a network of over 1M drivers across the U.S. and Canada.
- Facilitates 248.8M quarterly rides, achieving its 10th consecutive quarter of double-digit growth.
- Market Position: Holds a stable 30% share of the U.S. rideshare market, effectively serving as the primary domestic alternative to global incumbents.
- It Operates a two-sided platform matching transportation demand with supply, generating revenue through a 35% average take rate on gross bookings.
- Leverages high-margin revenue streams including Lyft Pink (subscriptions), Lyft Media (in-app advertising), and the TBR Global luxury chauffeuring segment.
- It Acts as the "demand layer" for autonomous vehicle partners (e.g., Waymo, Baidu), providing the customer base and routing tech while avoiding the capital intensity of vehicle ownership
- Achieved GAAP profitability in 2024 and generated a record \$1B+ in trailing twelve-month free cash flow by late 2025.
- AV Milestone: Announced a landmark partnership with Waymo to launch fully autonomous rides in Nashville (2026), cementing its role as a key infrastructure partner for robotaxis.
- 2027 Targets: Management has committed to a 15% Gross Bookings CAGR and a target Adjusted EBITDA margin of 4% (as a percentage of gross bookings).

Investment Thesis | Positioned for Growth, Margin Expansion, and Valuation Upside

Core Value Catalyst



Transformation from a "growth-at-all-costs" player to a high-efficiency cash generator via a 70% driver earnings guarantee that stabilizes supply and lowers recruitment costs.

Quantitative Rationale & Model Impact

\$1.11B projected FCF for 2026; management has committed to a 90%+ Adjusted EBITDA-to-FCF conversion rate through 2027.

Strategic Narrative & Execution



By hitting GAAP profitability in late 2024, Lyft has decoupled its ride growth from overhead. Every incremental ride now flows to the bottom line with higher efficiency due to a 10% YoY reduction in insurance/incentive intensity.

Competitive Moat & Sector Dynamics

While the market fears high P/E ratios, Lyft's FCF Yield of ~12.5% is nearly triple that of peers, providing the "dry powder" for its \$750M share repurchase program and debt reduction.

Investment Thesis 2 | Asset-Light "Lyft Ready" Autonomous Strategy

Core Value Catalyst



Positioning as the essential "demand layer" for AV fleets (Waymo, Baidu) and the "Lyft Ready" program for personally-owned autonomous vehicles.

Quantitative Rationale & Model Impact

AV integration is a core pillar for reaching the 4.0% Adjusted EBITDA margin target (as % of Gross Bookings) by 2027.

Strategic Narrative & Execution



The 2026 Nashville rollout with Waymo utilizes Lyft's Flexdrive subsidiary for fleet management. This allows Lyft to earn high-margin service fees without the multi-billion dollar R&D risk of building its own self-driving hardware.

Competitive Moat & Sector Dynamics

By partnering with Tensor (NVIDIA-powered) for consumer AVs, Lyft is creating a new revenue stream where private owners can "rent out" their cars to the Lyft network, creating a massive, asset-light supply moat.

Investment Thesis 3 | International Expansion & Ad-Tech Diversification

Core Value Catalyst



Expanding the Total Addressable Market (TAM) via the Freenow (Europe) acquisition and scaling the high-margin Lyft Media business.

Quantitative Rationale & Model Impact

Ad revenue is projected to reach \$400M by 2027 (an 8x increase from 2024 levels), which carries nearly 80% flow-through margins.



Strategic Narrative & Execution



The integration of Freenow adds exposure to 150+ European cities, providing a natural hedge against U.S. regulatory shifts. Meanwhile, Lyft Media monetizes the 28.7M active riders' attention during the "transit window," significantly boosting per-ride profitability.

Competitive Moat & Sector Dynamics

Lyft's focus on high-intent urban commuters (vs. Uber's broader delivery/freight focus) allows for higher ad-targeting premiums, making its "Media" play a more potent margin driver than general delivery ads.

Valuation & Risks

Lyft is currently trading at a deep discount to its intrinsic value, with a "safety floor" provided by robust free cash flow and a massive valuation gap relative to global peers

Enterprise value	\$6,794
<i>Implied TV exit EBITDA multiple</i>	<i>9.9x</i>
Cash	1,993
Total Debt	1,319
Net debt	(674)
Equity Value	7,468
Shares Outstanding	413.000
Price per share	\$ 18.08
Upside/Downside	-6.7%

Risks

- Persistent inflation in insurance reserves and potential labor reclassification (e.g., California's unionization shifts) could inflate the cost-per-ride and derail the 2027 Adjusted EBITDA margin target of 4%.
- Uber's 70%+ market share and diversified revenue (Delivery/Freight) allow for aggressive cross-subsidization; Lyft's North American focus leaves it vulnerable to predatory pricing and higher user-acquisition costs.

Appendix | Supporting Data and Detailed Methodologies

[Access the full Model here](#)

Inside the Model

- **3-Year FCF Forecast: Annual projections of Unlevered Free Cash Flow (2026–2030), transitioning from \$1.1B in 2026 to a steady-state mature profile.**

Thank you
